

Managing the UK economy

Fiscal and monetary policy since 1945

Week 6 – 1968-79: Inflation and the crisis of the post-war settlement

AY 2026-27

Department of Political Economy

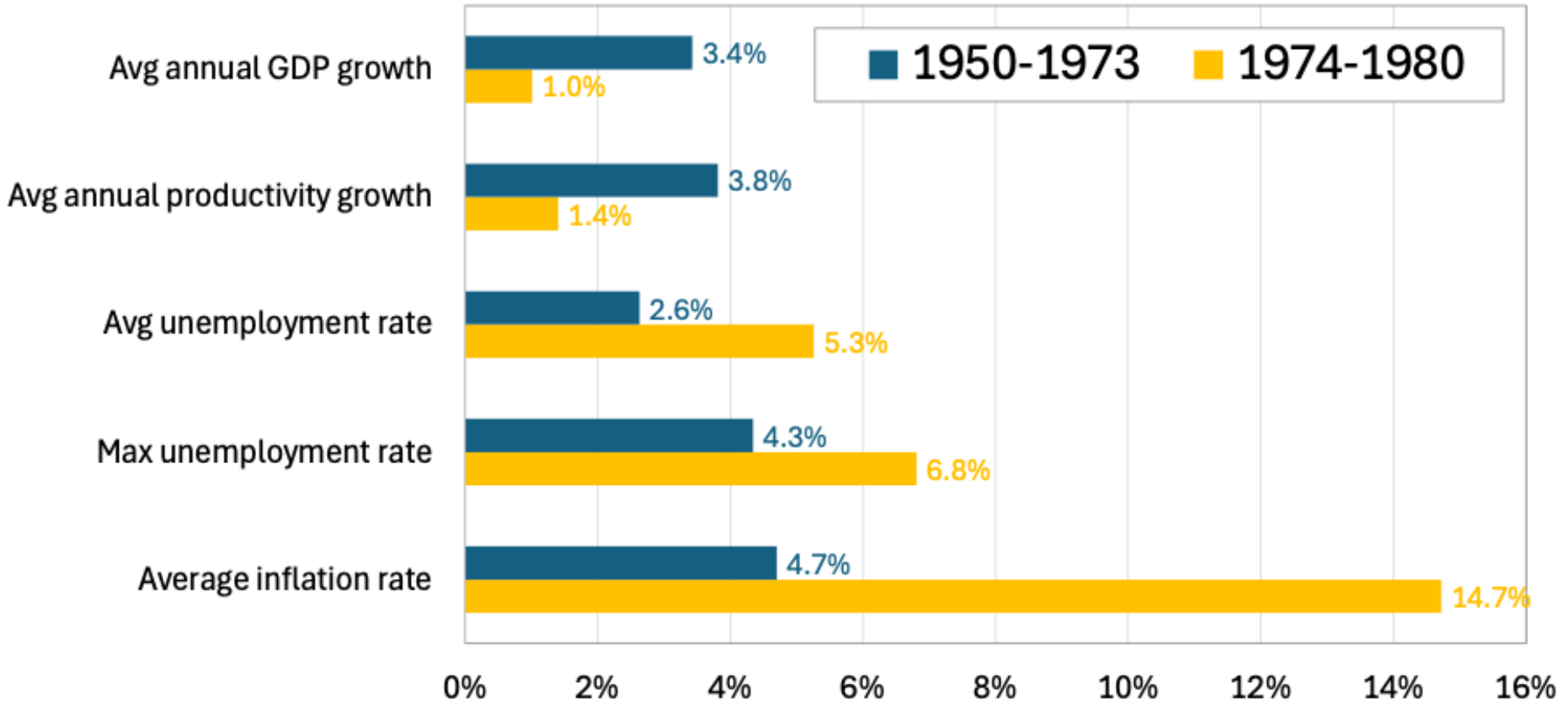
Instructor: Daniele Girardi

Plan for today: 1968-79

1. Overview
2. Macroeconomic policy 1968-79
3. Important themes in macro policy
   - Floating the pound
   - The UK & Europe
   - The evolution of incomes policy

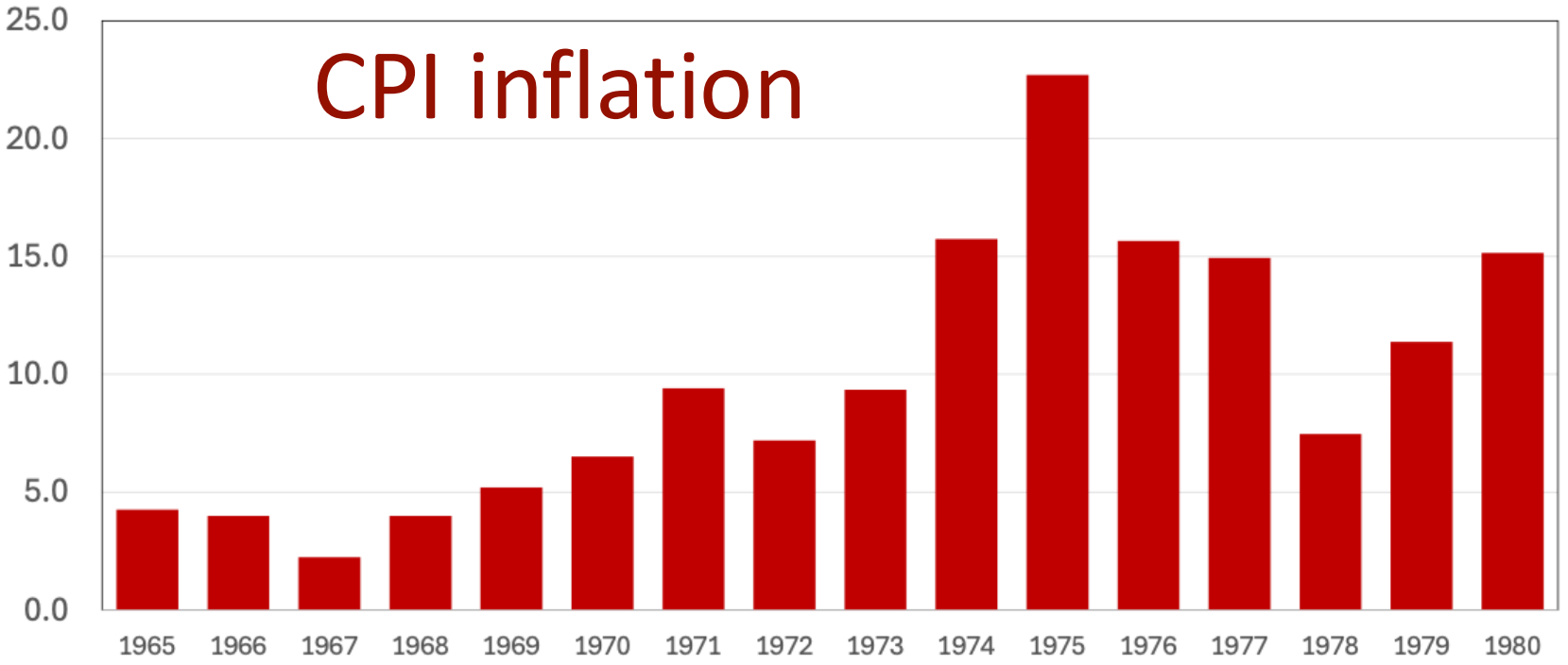
1968-1979: Overview

- 1973/74 oil shock marks the end of the post-war expansion



1968-1979: Overview

- Inflation becomes the no.1 priority for policy

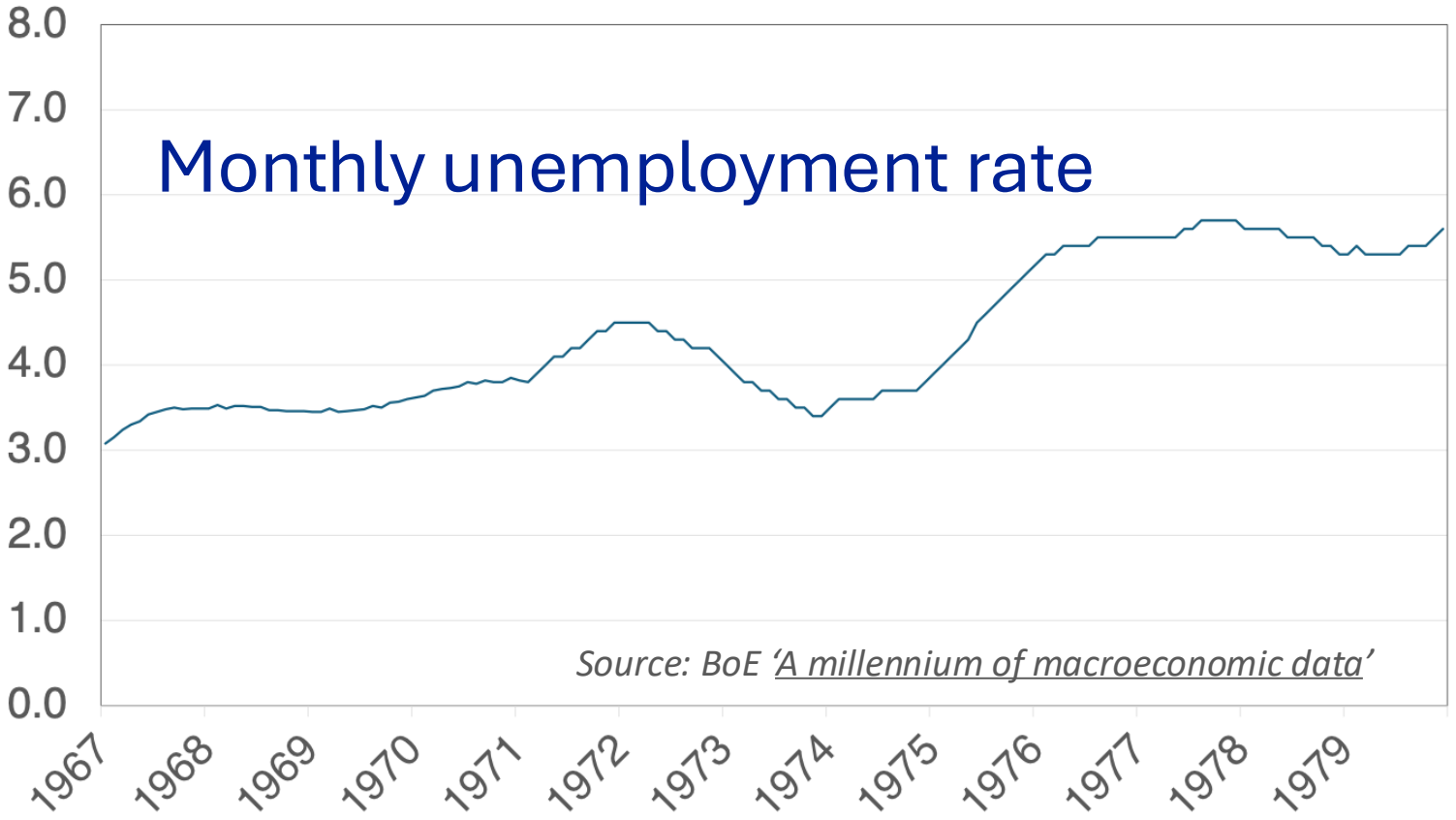


- Rising trend in 1968-1972
- Explodes after the 1973/74 oil shock

Source: BoE 'A millennium of macroeconomic data'

1968-1979: Overview

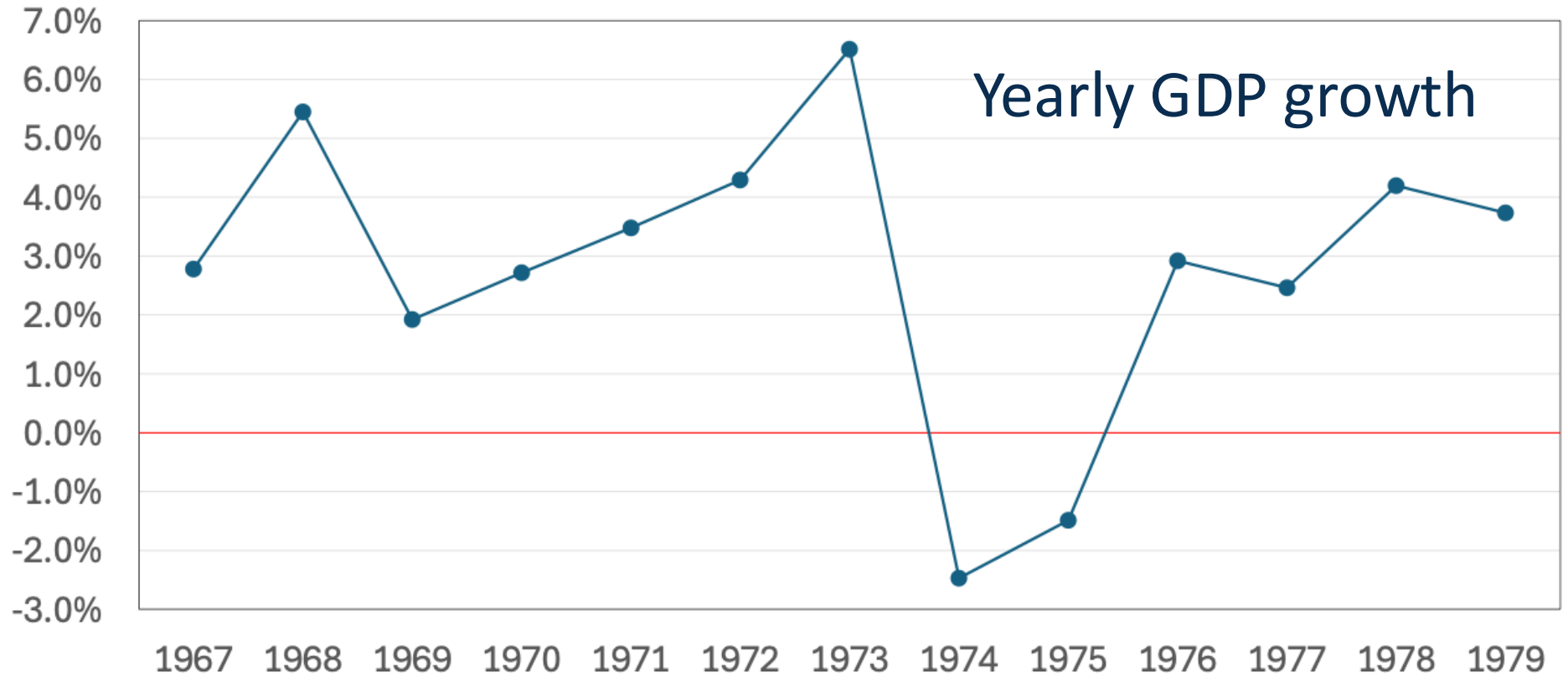
- *Stagflation*: unemployment increases at the same time as inflation



- Rising trend.
- Temporary decrease after 1972 'Barber boom'
- New rise in mid-1970s.
- Still not very high by historical standards.

1968-1979: Overview

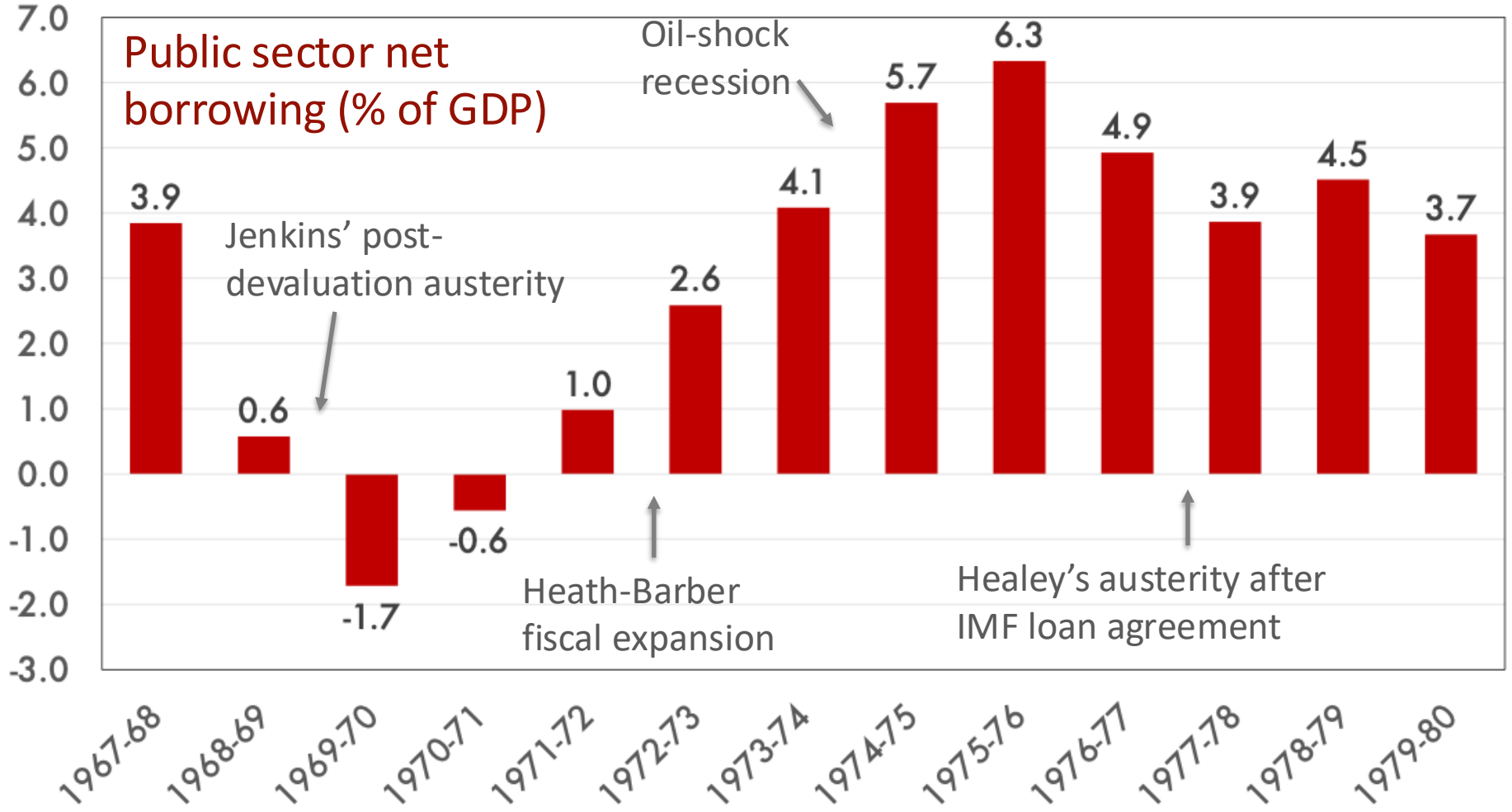
- 1974-75 is the first recession since 1948



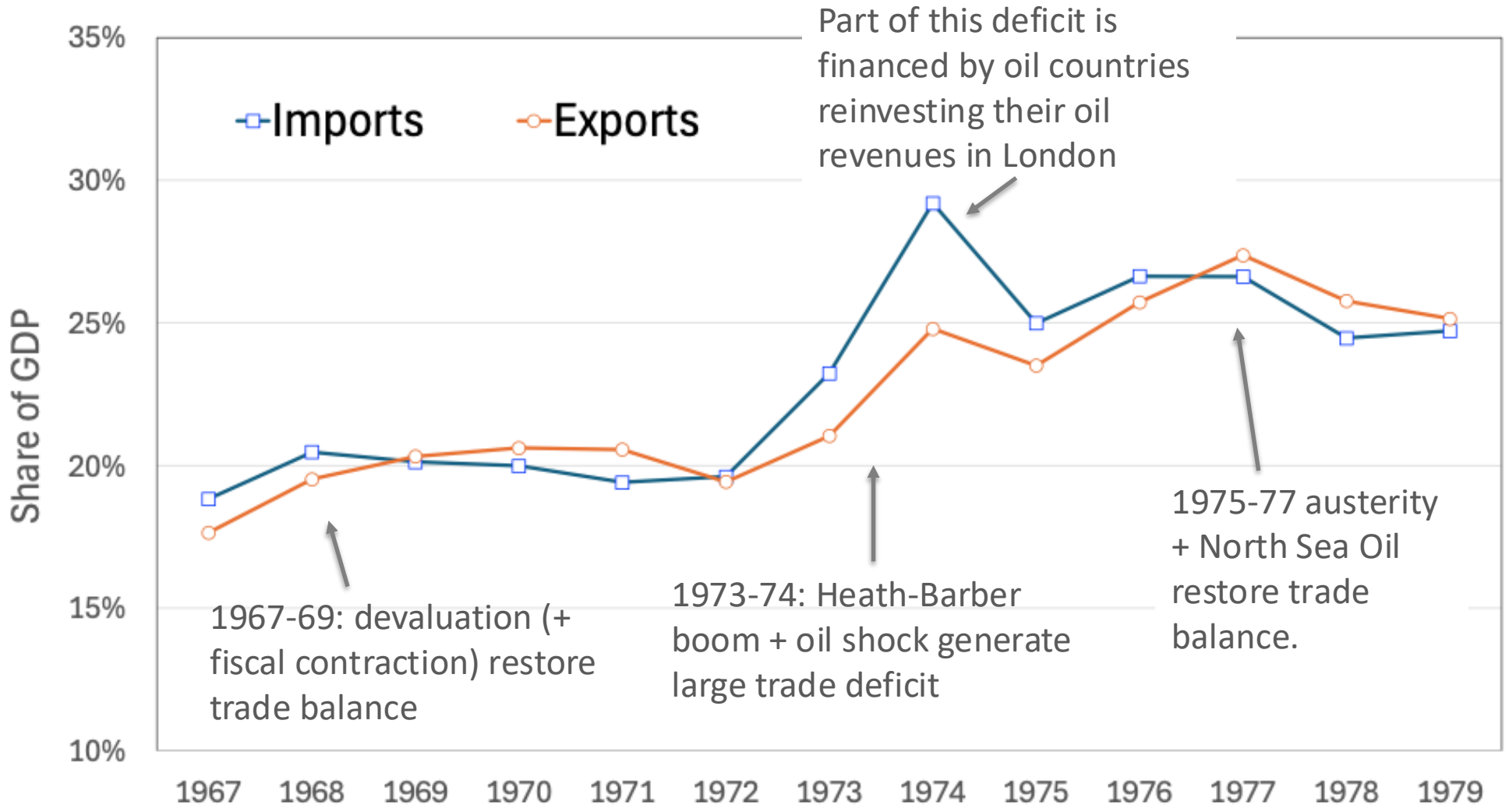
Source: BoE 'A millennium of macroeconomic data'

1968-1979: Overview

- 1968-70 budget surpluses give way to large deficits in the 1970s



1968-1979: Overview



1968-1979: Overview

The crisis of the post-war settlement

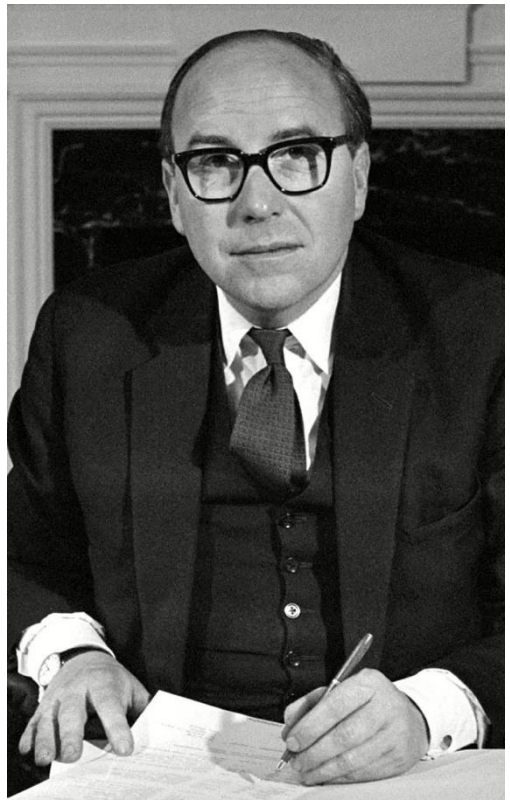
- Commitment to full employment gradually abandoned (1975 budget a turning point).
- Growing skepticism of Keynesian demand-management policies.
- Government starts attacking trade union power (unsuccessfully until mid-1980s).

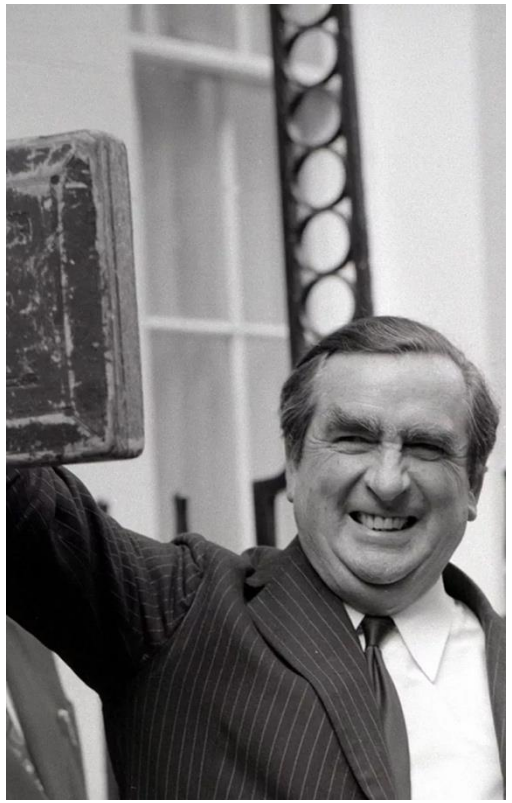
Internationally:

- End of Bretton Woods system.
- Oil shocks end the 1945-1973 ‘Golden Age’ of regulated, social-democratic capitalism



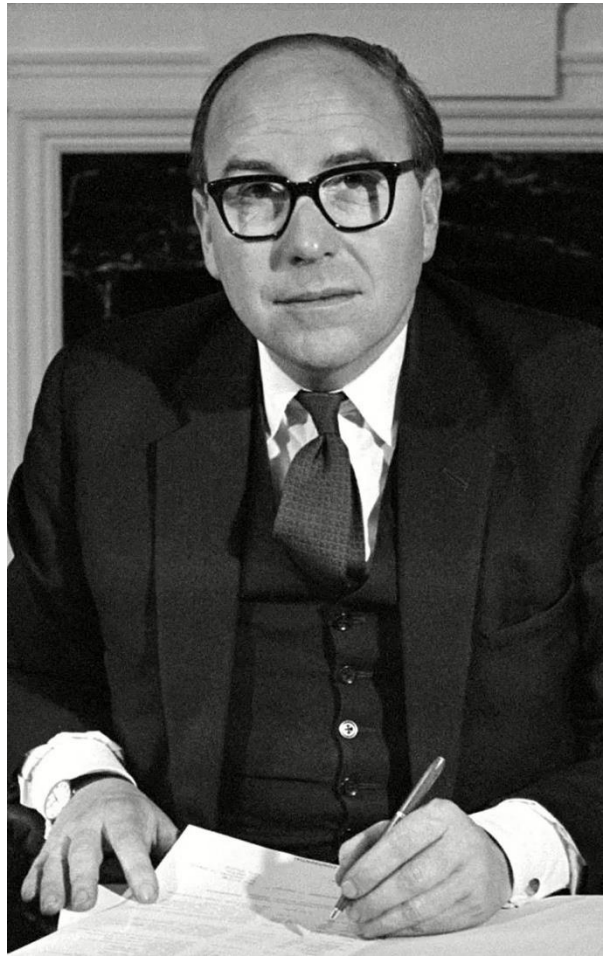
Macroeconomic policy 1968-79






1968-1970: The years of hard slog

- Nov 1967: Deflationary measures “to make devaluation work”
  - 8% bank rate, credit restrictions, wage freeze
  - £500m fiscal package (~1% of GDP)
- New Chancellor Roy Jenkins: more drastic austerity
  - Jan 1968: £525m of spending cuts (~1% of GDP)
  - 1968 & 1969 budgets: £1,263m of tax increases (~2.5% of GDP)
- 1968 still a year of currency crisis
  - £ repeatedly on the verge of further devaluation or floating.
- 1969: Success at last – The BoP crisis is over
  - devaluation + fiscal tightening eventually do the job
  - BoP turns to substantial & durable surplus (until 1972-3)
- In 1970 austerity can be relaxed
  - Apr 1970 budget: a (very cautious) tax cut (£179m , ~0.3% of GDP)



1970-1974: Heath Government

- June 1970 election: surprise Conservative victory.
- Electoral platform: reducing state intervention in the economy, clamping down on unions, reducing inflation.
- 1970-71: Attempted ‘free-market’ revolution
  - Refusal to rescue troubled firms
  - Discontinuation of incomes policy & industrial policies
  - Industrial Relations Bill regulating unions & restricting strikes
  - Opposition to the coal miners pay demands
- By 1972, failure and U-turn across the board
- Fiscal policy: An ill-timed dash for growth
  - 1970 budget neutral
  - 1971 and (mostly) 1972: huge fiscal expansion through tax cuts
  - ‘Barber boom’ was short lived and highly inflationary
  - 1974 budget starts to (timidly) reverses course



1974-1975: Denis Healy & the economic crisis

Oil shock & crisis (stagflation, trade deficit, budget deficit)

Feb & Oct elections: tiny Labour majority

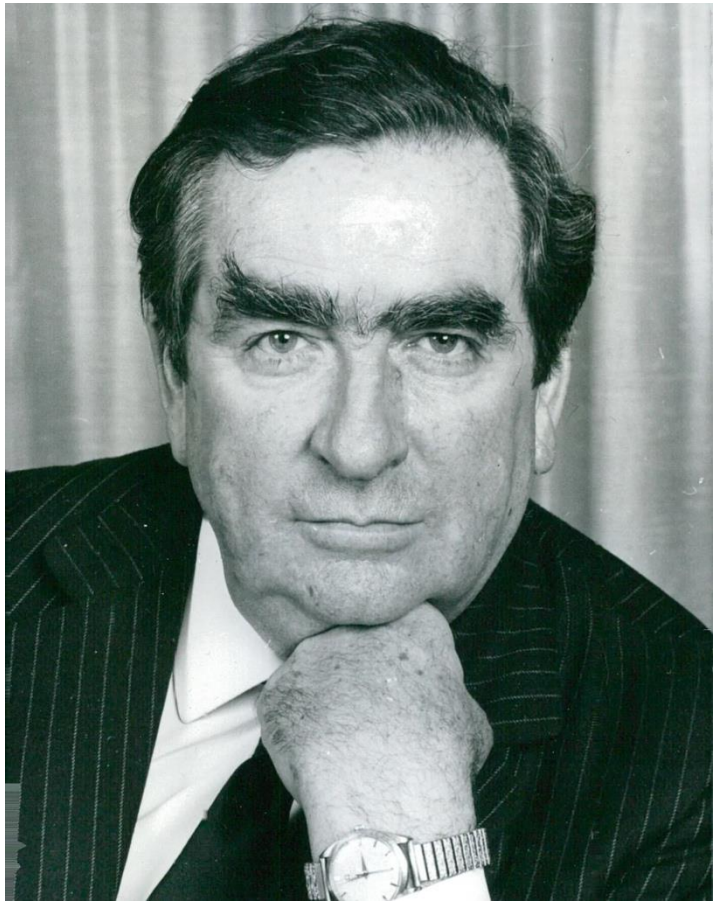
- Denis Healy Chancellor

Initial attempt to avoid deflationary policies

- Social Contract with unions to moderate wages
- 1974 budget(s) broadly neutral
- but deficit & inflation explode

1975: Healey turns to austerity

- Tax-increasing 1975 budget + spending cuts effective 1976
- Stricter incomes policy negotiated with TUC
- 1976 budget: tax cuts conditional on pay moderation



Healey successful in getting Labour to deflate & TUC to limit pay rises; inflation slows.

But tax-for-pay deal controversial.

1976: Currency crisis & IMF loan

March/April : run on sterling begins

- UK had higher inflation and trade deficit than its peers
- Notwithstanding austerity turn & decrease in inflation, investors had low confidence in the Labour government
- Expectation of large depreciation

Government fears a freefall and supports the pound

- $5.3 billion short-term loan from foreign CBs, to be repaid Dec 9
- £1 billion spending cuts, Bank Rate at 13%

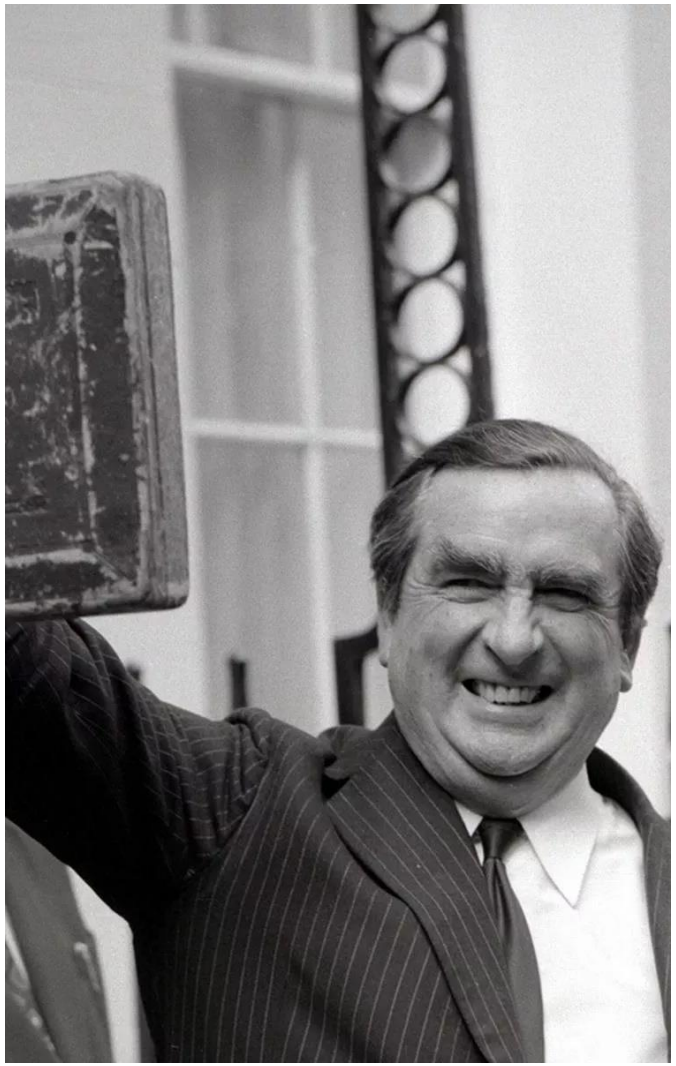
Sep/Nov: IMF loan negotiation ($3.9 billion)

- UK commits to reduce deficit by £2.5 billion in two years
- 2 billion spending cuts + 0.5 billion sales of assets (BP shares)

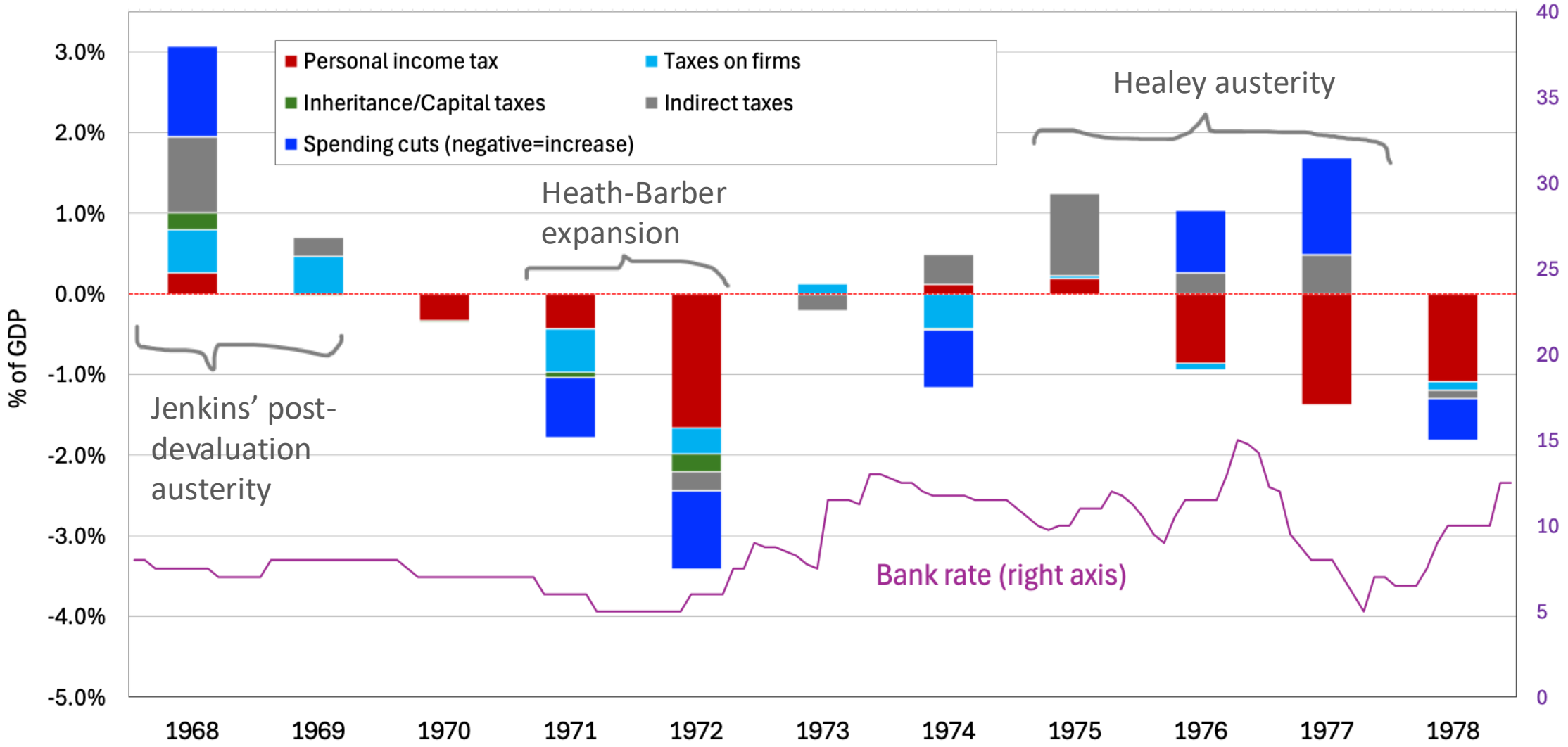


1977-1978: Recovery

- IMF loan agreement halts & reverses the currency crisis
  - £ recovers and starts appreciating
- Lower than expected 1976-77 deficit makes it easier to meet the IMF conditions.
  - PSBR £8.5 billion instead of the expected £10.5
  - Basically no change needed to meet agreement
- 1977-78 recovery
  - BoE lowers bank rate and accumulates reserves
  - Helped by North Sea oil, current account returns to balance
  - IMF loan not drawn in full and repaid by 1977
  - Expansionary 1978-79 budget
  - Both unemployment and inflation stabilize
- But prolonged wage restraint causes a 1978-79 ‘winter of discontent’



Fiscal & monetary policy, 1968-78



Sources: Tait (1968, 1969, 1970, 1971, 1973, 1974); Bristow (1978) and BoE, 'A millennium of macroeconomic data'.

Themes in macro policy 1968-79





Daily Mail

MONDAY, JANUARY 1, 1973

3p

A HAPPY NEW YEAR TO YOU ALL

Daily Mail COMMENT

'For ten years the Mail has campaigned for this day. We have not wavered in our conviction that Britain's best and brightest future is with Europe.'

EUROPE. HERE WE COME!

WE welcome this day.

All bygone adventures to unite the peoples of our Continent have been empires of the sword that have been sundered by the sword.

This European Community of which we are now a part is different.

It is a free association of nations drawn together by a common will to bury the sword.

To transform the cockpit of Europe into a power for peace—that was the ideal that took seed amid the rubble more than a quarter of a century ago.

Unlike almost all other grandiose visions sown in the aftermath of war, this one was not allowed to wither.

Men as epic in their statesmanship as the American founding fathers—men like Jean Monnet, Robert Schuman and Paul-Henri Spaak—worked through coal and steel and tariffs to give the European idea substance.

Britain flirted with the idea. But at that time, back in the '50s, our feeling for the Commonwealth and our traditional distrust of Continental entanglement exercised too strong a counter-pull.

To our great cost, we missed our chance to join in laying the first foundations of the Common Market.

Had we had a hand in it then, the Europe we now belong to would be more to our democratic taste and we would not have to suffer the full economic absurdities of the Common Agricultural Policy.

But these are still early days, pioneering days. The shape of European unity that will eventually rise on these foundations has not been determined.

Today our destiny as a nation has committed us to mix the mortar and help build this new Europe; to ensure that the poorer regions in Britain and the other countries share in the prosperity to come.

For ten years the Daily Mail has campaigned for this commitment. We have not wavered in our conviction that Britain's best and brightest future is with Europe.

We know that many of you still do not agree.

We think we understand your feelings at this time.

There is bound to be some sadness and regret. No groom marries without a wistful glance back to his bachelor freedom. No fanfare for Europe, however cheery, can quite be made to harmonise with Rule Britannia.

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Continued in Page Six

THE DAILY MAIL EUROPRIZE

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It is an exciting award for a unique person—the man or woman who makes the best individual contribution towards Britain's success in the Common Market.

We are looking for the super Britain who will seize the opportunities offered by the momentous step into Europe.

It will be a unique contest. And it will give an equal opportunity to every reader. No matter what the size of his company.

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Don't miss the Mail for more details of this great contest.

TOMORROW—A SPECIAL 16-PAGE PULL-OUT ON EUROPE AND YOU

Man in post row knighted

POST OFFICE chief Bill Ryland, whose dismissal has been demanded because of the Christmas mail delays, is knighted in the New Year Honours List.

Posts and Communications Minister Sir John Eden has been asked by Mr John Hunt, Tory MP for Bromley, to sack Sir William in the light of unprecedented delays in Christmas mail.

But Sir William, now 59, will probably stay in his £20,000-a-year job for a further six years.

Yard Chief Knighted: Page 9
Sport honours: Page 23

MARTIN McGUINNESS

Top IRA men ambushed

And gang open fire on bus

Daily Mail Reporter

TWO more top IRA Provisionals were in police cells last night after an ambush on the Republic side of the border.

And in Ulster four passengers were wounded when terrorists opened fire on a double-decker bus.

The border ambush practically wipes out the London-derry Provisionals' High Command.

For it netted Martin McGuinness, 22, commander of Derry's 1st Battalion, and his deputy, Seamus Loughran.

They were ambushed during an arms smuggling mission on Saturday night, say the Eire police.

The trap was sprung by eight police officers in Co. Donegal after they found a red Cortina parked 100 yards from a routine road block near the Ulster border.

As the police approached two men ran out of the car.

The officers recognised the car as belonging to an IRA man. In the boot, said the police, was a large haul of arms and more than 1,000 rounds of ammunition.

One of the two police cars drove off, its headlights blazing, to give the impression that the checkpoint had been abandoned.

But the only officer in the drive-away car was the driver. The seven other policemen waited for the IRA suspects to return to their Cortina.

After about an hour two figures crept towards the Cortina. The police leaped out from ditches and behind bushes.

"There was virtually no struggle," said one officer. "We weren't armed and neither were they."

Both captives were taken to Letterkenny police station and locked up for the night.

Yesterday they were taken in a convoy of police, army vehicles and armed outriders to Mountjoy Prison, Dublin.

A policeman stationed at Lisnaskea, Co. Cork, is to be charged under the Official Secrets Act. He was arrested during investigations into the disappearance from a police station of papers on IRA men.

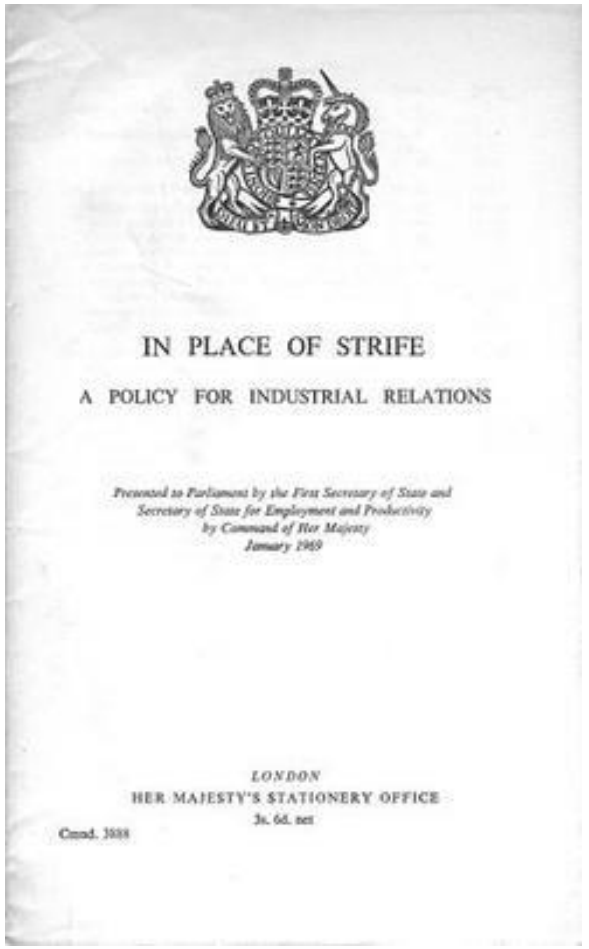
The Belfast bus shooting began after the vehicle was held up by a gunman with a red sash on the Protestant Highfield Estate.

As the bus pulled in three armed men—one with a sub-machine-gun—stepped out and sprayed the vehicle with gunfire.

Passengers screamed and dived to the floor as the windows were shattered. Two of the four wounded were kept in hospital.

All four terrorists got away in a waiting car.

INSIDE—Colin Reid 7, Femail International 8, Emmwood 13, Peter Black & TV Guide 16, Amusement Guide 18, Classified Adverts 20, 22, 23, Prize Crossword 25



IN PLACE OF STRIFE

A POLICY FOR INDUSTRIAL RELATIONS

Presented to Parliament by the First Secretary of State and Secretary of State for Employment and Productivity by Command of Her Majesty January 1969

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The transition to a flexible exchange rate

Aug 1971: Dollar inconvertibility – end of Bretton Woods.

Aug-Dec 1971: World currencies float.

Dec 1971 Smithsonian Conference: new dollar parities, wider (±2.25%) bands.

May 1972: UK joins the European 'snake in the tunnel': fixed parities with narrower bands among European currencies.

June 1972: After 1972 budget, UK forced out of the snake and "temporarily" floats the pound.

Feb 1973: Smithsonian agreement collapses, all major currencies float.

Mar 1979: European ERM, but UK stays out (until 1990).



The UK and Europe: joining EEC, but not ERM

1957: Treaty of Rome creates EEC (Fra, Ita, Ger, BeNeLux)

- Common market
- In retrospect, probably a mistake for UK to stay out

1963 & 1967: France vetoes UK application

1973: UK joins the EEC

- Labour gov't slightly renegotiates terms & launches referendum
- 1975 referendum confirms UK membership

1978: UK stays out of Exchange Rate Mechanism

- Looks good in retrospect (1990 accession will prove a disaster).
- Treasury provided excellent macroeconomic analysis which helped the government decide not to join (Dell, 1994 and 1996).
- Would probably have brought new disruptive currency crises.



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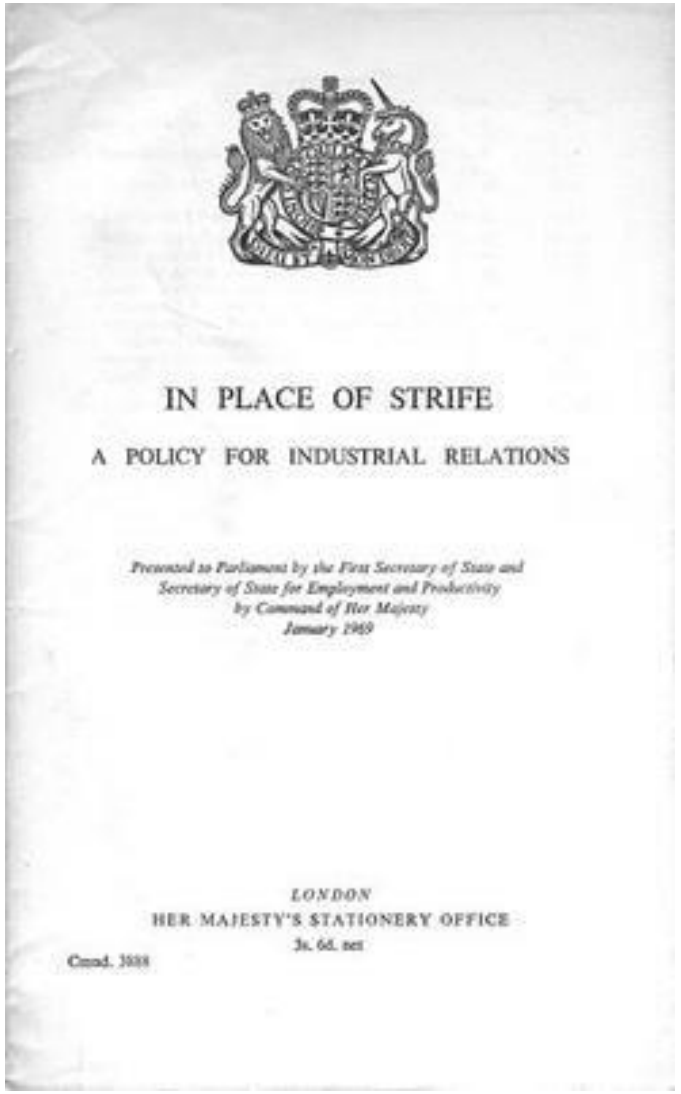
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Incomes policy: 1968-69

- Incomes policy helped contain inflation during the 1964-67 currency crisis
  - Statutory wage freeze (1966 Prices and Incomes Act)
- But largely broke down in 1968-69.
  - Proliferation of 'productivity exceptions'.
  - Unions seem to be losing authority over their members (labor militancy, wildcat strikes, ...).
- 1969: Labour government issues 'In Place of Strife'
  - White paper - proposals for regulating industrial relations
  - Commission on Industrial Relations forcing wage settlements.
  - Stricter regulation of strikes.
  - After negotiations, the proposals are retracted in exchange for a commitment by the TUC to clamp down on wildcat strikes.


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A POLICY FOR INDUSTRIAL RELATIONS

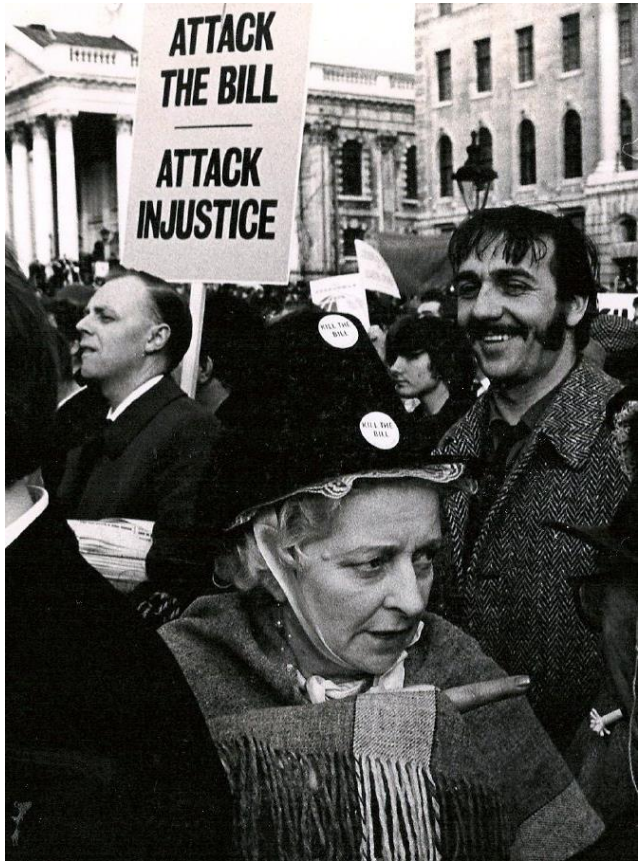
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Incomes policy: 1970-72

- 1970-71: Heath gov't rejects incomes policy
- 1971 Industrial Relations Act tries to weaken unions
  - Restricted right to strike by reducing unions' legal immunities.
  - Unions required to strictly regulate their strike procedures (cooling-off periods, ballots, limits on who & when can strike).
  - National Industrial Relation Court, where all unions register, would scrutinize their rule book.
- Fails to restrain industrial action & wage claims.
- 1972 U-turn: government seeks cooperation of unions & employers for an incomes policy



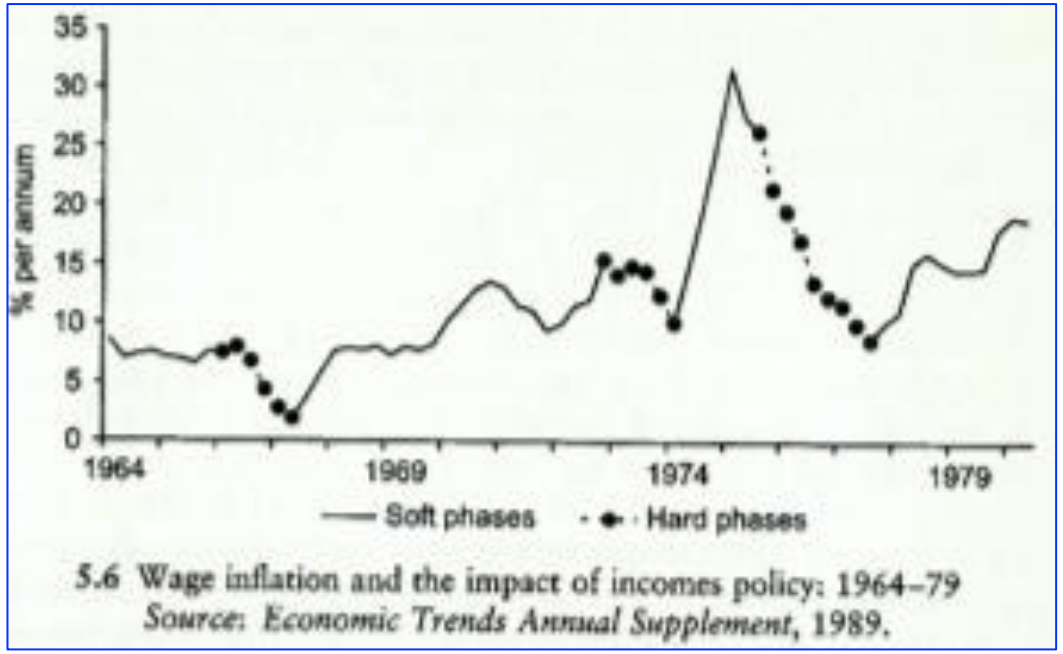
Incomes policy: 1972-74

- 3 stages of Heath government incomes policy:
  1. Nov 1972-Apr 1973
     6-months statutory freeze on wages and prices (after failure of talks with TUC & CBI).
  2. Apr-Nov 1973
     Wage increases limited to £1/week + 4%.
  3. Nov 1973-Jul 1974
     Largest of 7% or £2.24/week
     But if inflation > 7%, an extra £0.40/week for each 1% increase in inflation.
- Oct 1973-Feb 1974: miners' strike leads to state of emergency and brings down the government.



Incomes policy: 1974-79

- Labour leverages its good relations with unions.
- 1974 Social Contract: ‘responsible bargaining’ for union-friendly policies.
- 1975-77: Amid inflation surge, stricter incomes policy successfully negotiated.
  - Strict limits on wage increases in 1975-77
  - Effective in limiting wage inflation
  - Again, union-friendly policies in exchange (tax-for-pay deal in 1976 budget)
- After 1977 negotiations break down
  - Government unilaterally imposes statutory wage growth limits
  - Wage claims & strikes increase again in 1978-79
- 1978-79 ‘Winter of discontent’ against wage limits



5.6 Wage inflation and the impact of incomes policy: 1964–79
Source: Economic Trends Annual Supplement, 1989.



Thank you for your attention